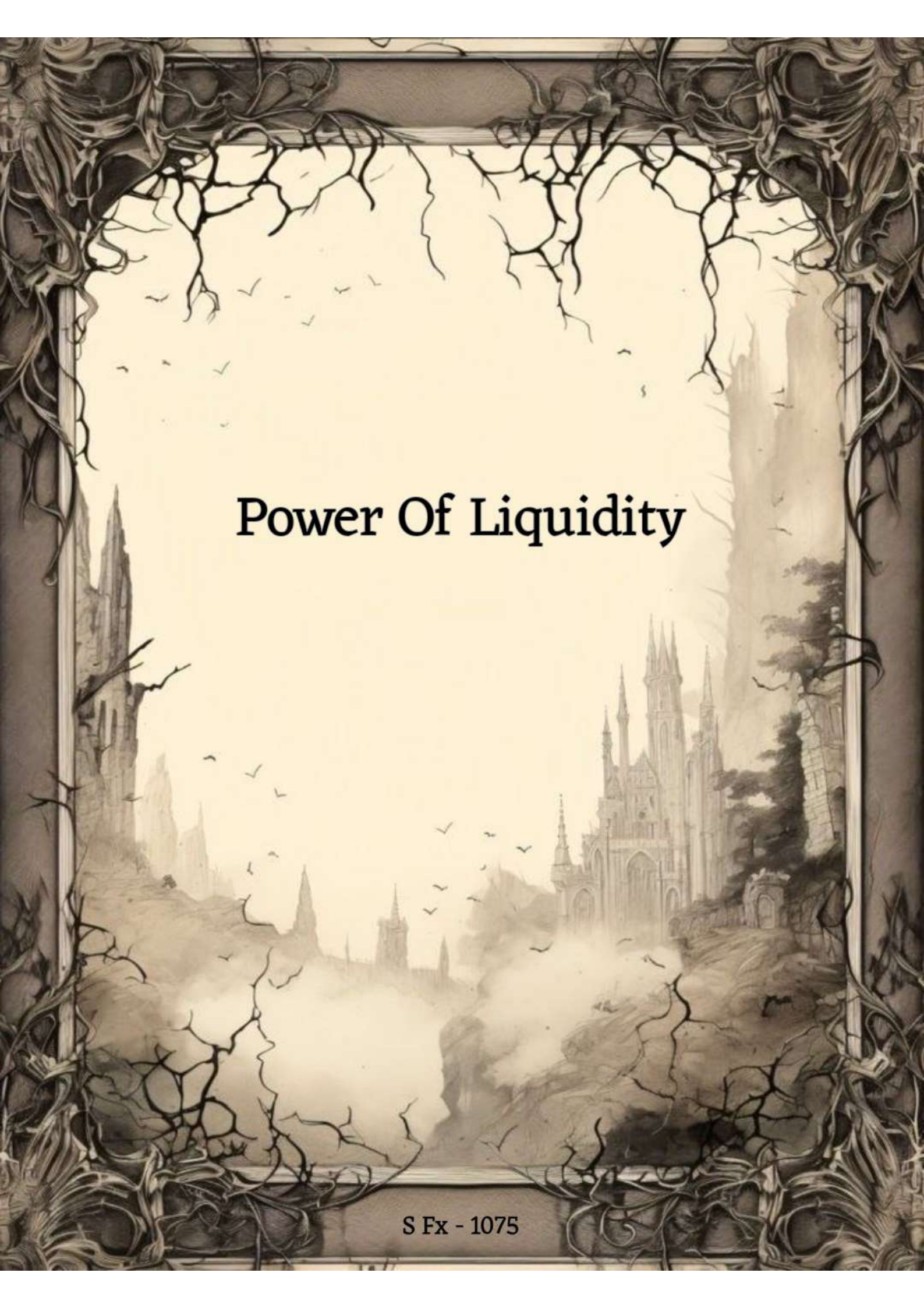




Power Of Liquidity

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POWER OF Liquidity



What is Liquidity



Liquidity describes the extent to which an asset can be bought and sold quickly, and at stable prices. In simple terms, it is a measure of how many buyers and sellers are present, and whether transactions can take place easily. It is where there are resting orders and often where traders will put their stoploss and take profits

How to Trade Liquidity Sweeps

After the sweep:
**Look for a change of character
(CHOCH)**
**Confirm with an order block /
breaker block**
**Enter in the direction of the
reversal**

**Bonus: Combine with market
structure for accuracy!**



What Is a Liquidity Sweep in Forex Trading?

Understanding Liquidity Sweeps
How smart money clears the path before a big move.

A liquidity sweep is when price quickly spikes above or below key highs/lows to collect stop-losses or trigger pending orders — before reversing.

It's a move by smart money to grab liquidity.



When price dips below support, hits stop-losses of buyers, then reverses upward → That's a sell-side sweep.

When price spikes above resistance, traps breakout traders, then reverses downward → That's a buy-side Sweep

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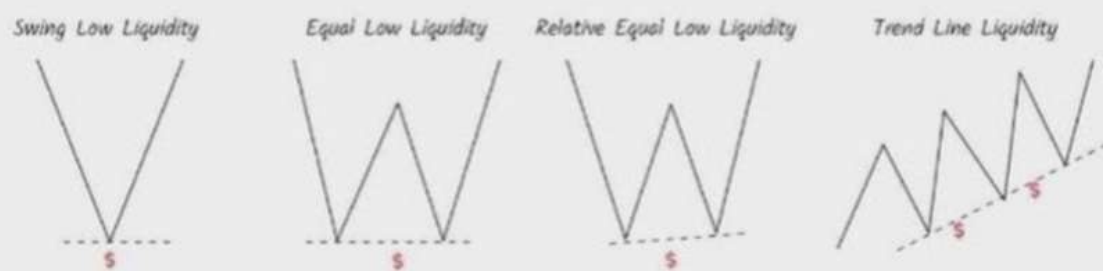
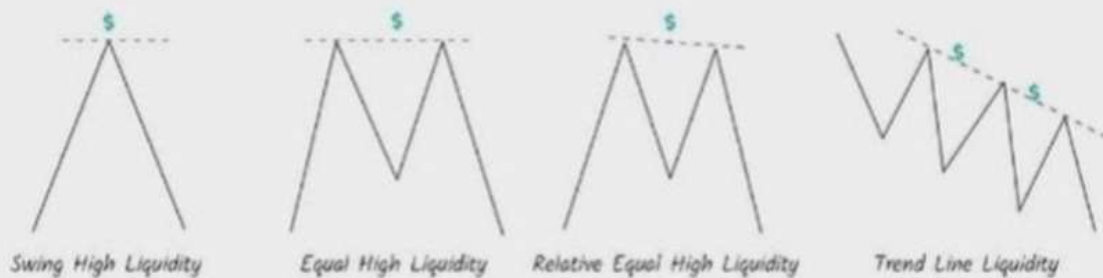
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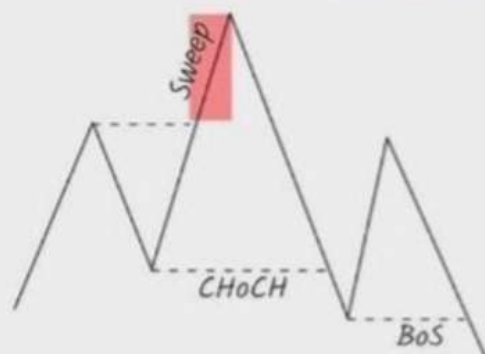
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Buy Side Liquidity



Sell Side Liquidity

Buy Side Liquidity Sweep



Sell Side Liquidity Sweep

Long Entry

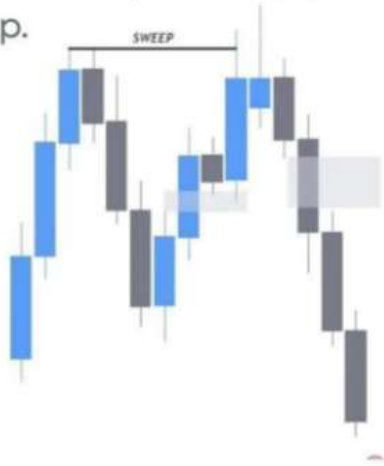


Short Entry

Liquidity Swop and Runs

Liquidity Sweep

In the Liquidity Sweep, we always have 2 FVGs. We have an FVG into the Liquidity and then an FVG out of the Liquidity. This creates the Sharp Turn (ST) and confirms the Sweep.



Liquidity Run

In the Liquidity Run, we have price moving through Liquidity. A strong run will happen when we form an FVG overlapping with the Liquidity. This shows the strong intention to expand higher and not sweep the Liquidity.



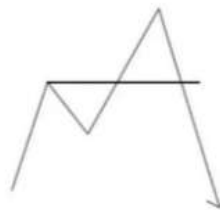
How can we identify these before they happen?

There are 2 main things that the market does that can help us identify Sweeps and Runs:

Offering Fair Value

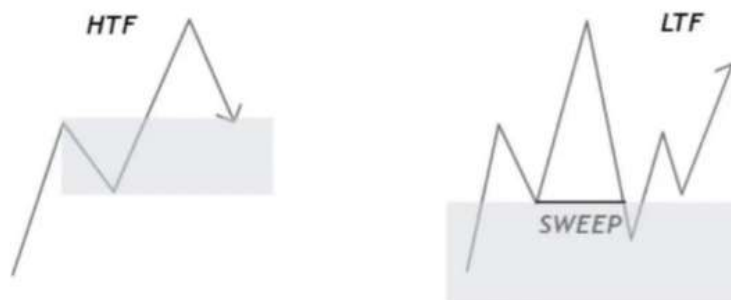


Seeking Liquidity



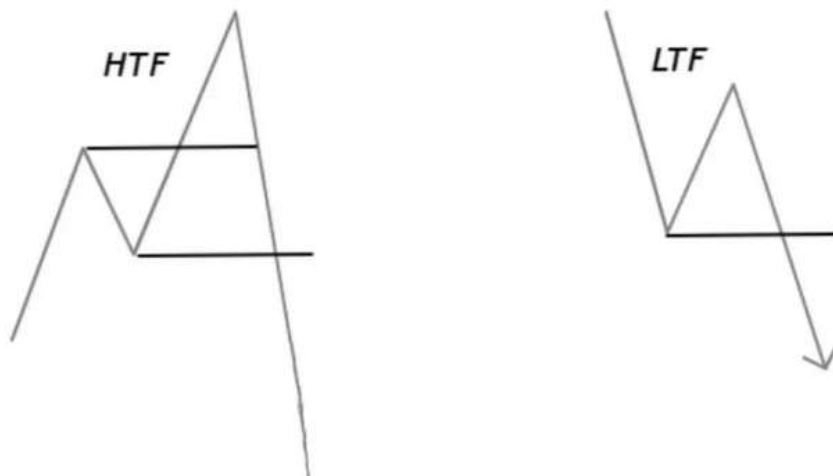
Offering Fair Value

When we are offering Fair Value we have two different scenarios on the higher and lower timeframe. When we are respecting a Fair Value Area and we expand off of that area, a lot of times on the lower timeframe, we are sweeping Liquidity that is within the Fair Value Area (FVA).



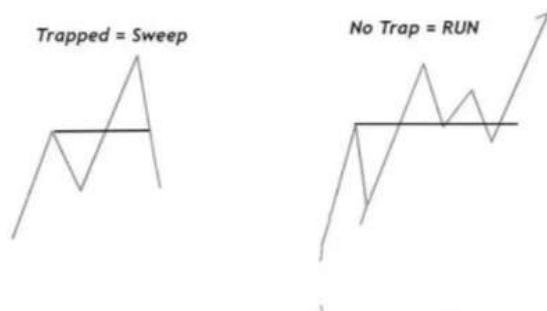
Seeking Liquidity

When we are seeking Liquidity we have two different scenarios on the higher and lower timeframe. When we are seeking Liquidity on the higher timeframe we are having lower timeframe Liquidity Runs.



Trapping

Lastly, we can identify Liquidity Sweeps and Runs from price "trapping" traders. Once we mitigate Liquidity if we have lethargic price action it shows we are comfortable around the Liquidity and that we will likely run it. The other way around, if we sweep Liquidity we will move to the opposite direction quickly to mitigate new Liquidity to keep traders trapped and take them out of the market.



Last Part On Liquidity

We can use these 3 methods to help us identify potential Liquidity Sweeps and Runs as early as possible.

